WAVERLEY GATEWAY GUIDE

Connecting International Capital

GERMANY

Europe

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Berlin	Capital and seat of the federal government, with Europe's most active start-up scene and a large international talent pool	Digital and software, AI, fintech, creative industries
Frankfurt am Main (Hesse)	Continental Europe's leading financial centre, home to the ECB, the Bundesbank and the Frankfurt Stock Exchange	Banking, asset management, fintech, data centres
Munich and Bavaria	High-income industrial and technology region with leading universities and corporate headquarters	Automotive, aerospace and defence, engineering, life sciences
Dresden and Saxony ("Silicon Saxony")	Europe's largest microelectronics cluster, where the TSMC-led ESMC joint venture with Bosch, Infineon and NXP targets production in 2027	Semiconductors, electronics, automation
Stuttgart and Baden-Württemberg	Heartland of the German car and machinery industries, now investing in electrification and automation	Automotive, mechanical engineering, industrial software
Rhine-Ruhr (North Rhine-Westphalia)	Germany's most populous region and industrial core, undergoing transition towards hydrogen and low-carbon production	Chemicals, steel, energy, logistics
Hamburg and the North Sea coast	Germany's largest port and a hub for offshore wind and aviation	Port logistics, offshore wind, aerospace, trade

INVESTOR ENTRY ROUTES

- Germany Trade & Invest (GTAI), the federal economic development agency, provides free support on market entry, sites, incentives and financing, working with state-level agencies
- The growth booster package allows 30% declining-balance depreciation on equipment bought from July 2025 to the end of 2027, and cuts the 15% corporate income tax by one point a year from 2028, bringing the total burden to just under 25% by 2032
- A €500 billion special fund for infrastructure and a reformed debt brake that excludes defence spending from the borrowing cap, creating a long pipeline of public contracts
- Research and investment incentives, including an expanded research allowance from 2026 and regional and EU grants for projects in eligible areas
- Euro-area membership: the euro is the national currency, with free movement of capital under EU rules

- EU single-market and Schengen membership, giving goods, services, capital and people free movement across the EU
- Foreign investment screening by the Federal Ministry for Economic Affairs applies to acquisitions in defence, critical infrastructure and key technologies

MARKET-ENTRY OBSERVATION

Germany in November 2026 is Europe's largest economy and its biggest market, now returning to growth on the back of a historic increase in public investment. After GDP rose 0.2% in 2025, the first annual growth since 2022, the government raised its 2026 forecast in October to 1.3% and expects 1.1% in 2027, driven by exports and state investment in defence and infrastructure; GDP grew 0.2% in the third quarter of 2026, 1.3% higher than a year earlier. The 2027 draft budget raises investment to €117.5 billion and core defence spending to €109 billion, supported by a €500 billion infrastructure fund. GTAI recorded 1,564 foreign investment projects in 2025, led by China (228) and the US (206), and flagship projects such as the ESMC chip plant in Dresden underline Germany's industrial depth.

Germany's main structural challenge is restoring industrial competitiveness amid high energy costs, an ageing workforce and shifting trade patterns. Higher energy prices linked to the Middle East conflict lifted inflation to 3.3% in September 2026 before it eased to 2.8% in October, and the government expects private consumption and investment to remain subdued. The response is substantial: tax incentives for investment, a phased cut in corporate tax from 2028, and record public spending, financed from a strong starting position with general government debt of 63.5% of GDP in 2025, among the lowest of the large euro-area economies. For investors, this creates sustained demand in defence, infrastructure, energy transition, automation and digitalisation, alongside opportunities to acquire and modernise high-quality industrial assets.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Energy costs	Energy prices rose 12.2% year-on-year in October 2026, adding to costs for energy-intensive industry	Secure long-term power contracts, invest in efficiency and on-site renewables, and use public support for decarbonisation
Moderate growth outlook	Growth is forecast at 1.3% in 2026 and 1.1% in 2027, with private demand still subdued	Target segments driven by public spending, such as defence, infrastructure and energy, where demand is rising
Tax burden	The combined corporate tax burden is about 30% today, higher than many EU peers	Use 30% declining-balance depreciation to 2027 and plan for the phased cut to just under 25% by 2032
Skilled labour shortages	An ageing population limits the supply of engineers, technicians and IT specialists	Locate near university clusters, invest in automation and use Germany's skilled-immigration routes and vocational training system
Political shifts	The AfD won a record 44% in the Saxony-Anhalt election in September 2026, adding pressure on the federal coalition	Federal policy and institutions remain stable; engage with state governments and monitor coalition dynamics in eastern states
Foreign investment screening	Acquisitions in defence, critical infrastructure and key technologies require prior approval	Engage early with the Federal Ministry for Economic Affairs; greenfield investment is generally not affected
Bureaucracy and permitting	Planning and approval processes can be lengthy, especially for energy and infrastructure	Work with GTAI and state agencies, and track federal measures to accelerate permits

INVESTOR RISK NOTE

Germany's risk profile is that of a large, stable and highly developed EU and euro-area economy with strong institutions, the rule of law and low public debt of 63.5% of GDP in 2025. As a member of the EU and of the Financial Action Task Force, it offers legal certainty and a mature financial system, and the ECB, which held its

deposit rate at 2.50% on 29 October 2026, sets monetary policy for the euro area. The main issues are economic rather than legal: growth is recovering only gradually, energy prices are elevated, and inflation was 2.8% in October 2026. A large increase in public borrowing will fund infrastructure and defence, and the government plans to borrow €838.2 billion over 2027–2030, which the low debt starting point accommodates. Politically, the strong AfD result in Saxony-Anhalt adds pressure on mainstream parties, but federal institutions and policy remain stable. None of these issues restricts lawful investment, and investors can manage them through energy contracts, tax planning and early engagement.

MARKET ACCESS

As a founding member of the EU, Germany gives investors tariff-free access to the EU single market and to all the EU's free trade agreements, with WTO membership and the EU's common trade policy governing trade with third countries. Euro-area and Schengen membership remove currency and border frictions with its nine neighbours, and Germany is at the centre of European road, rail, river and air networks, with the port of Hamburg and North Sea and Baltic ports linking it to global markets. The European Union, the United States and China are its main trading partners, and its export industries in vehicles, machinery, chemicals and electrical equipment are embedded in supply chains across Central and Eastern Europe. Frankfurt's financial centre and the ECB's presence make it a natural base for euro-area finance.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Federal Chancellery (Chancellor Friedrich Merz)	Sets the federal government's economic, fiscal and security strategy, including the infrastructure and defence spending programmes	Primary reference point for strategic direction and flagship projects
Germany Trade & Invest (GTAI)	Federal economic development agency supporting foreign investors with market information, sites, incentives and financing	Standard first point of contact for market entry
Deutsche Bundesbank (President Joachim Nagel)	Part of the Eurosystem; its president sits on the ECB Governing Council, and it supervises banks with BaFin and the ECB	Relevant for banking, payments and financial-sector matters
Federal Ministry of Finance (Minister Lars Klingbeil)	Leads the federal budget, tax policy and the special infrastructure and defence funds	Key counterpart on tax and fiscal matters
Federal Ministry for Economic Affairs and Energy (Minister Katherina Reiche)	Oversees industrial and energy policy, GTAI and foreign investment screening	Relevant for incentives, energy and approval matters
KfW	State-owned development bank financing infrastructure, energy transition, SMEs and export projects	Co-financing partner for qualifying investments
BaFin	Federal financial supervisory authority for banks, insurers and securities markets	Relevant for licensing and financial-services entry

CURRENT INTERNATIONAL BUSINESS CHANNELS

The German Chambers of Industry and Commerce (DIHK) and their global network of bilateral chambers abroad (AHKs), the Federation of German Industries (BDI) and sector associations such as VDMA and ZVEI are the main business channels, with regular dialogue with government. GTAI and state economic development agencies host investor events, and major trade fairs in Frankfurt, Munich, Hanover, Düsseldorf and Berlin are key meeting points for industry. KfW and the European Investment Bank provide co-financing, and federal and state funding programmes support research, innovation and regional development. The American Chamber of Commerce in Germany and the British Chamber of Commerce in Germany offer peer networks, and embassies of major partners maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Germany suits investors seeking scale, engineering depth and stability at the heart of Europe: defence, infrastructure and construction firms positioned for record public investment; semiconductor, electronics and automation companies around Dresden, Munich and Stuttgart; energy-transition investors in grids, offshore wind, hydrogen and efficiency; financial and fintech firms in Frankfurt; and acquirers of quality Mittelstand businesses. Energy-intensive investors should plan carefully for power costs, and acquisitions in sensitive sectors require foreign investment screening.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage GTAI and the relevant state agency
Open direct dialogue on sites, incentives and financing, and test eligibility for regional and research support.

STEP 2: Shortlist locations by sector cluster
Compare Frankfurt for finance, Dresden and Munich for technology, Stuttgart and Rhine-Ruhr for industry, and Hamburg for logistics and offshore wind.

STEP 3: Map public-spending opportunities
Identify infrastructure, defence and energy procurement under the €500 billion fund and the 2027 budget, and prepare for tender requirements.

STEP 4: Optimise tax and energy planning
Time capital spending to use declining-balance depreciation before end-2027, and secure long-term power supply arrangements.

STEP 5: Check screening requirements early
Confirm whether an acquisition falls within foreign investment screening and engage the Ministry for Economic Affairs before signing.